

Chapter 7: Customer Value– Driven Marketing Strategy

Kotler & Armstrong - Principles of
Marketing (17th Edition)

1: Chapter Introduction – Value for Target Customers

- Chapter 7 explores how companies design customer value–driven strategies by segmenting the market, targeting segments, differentiating offerings, and positioning brands.
- - Strategic focus: Delivering superior value to well-defined target customers.
- - Importance: Helps firms compete effectively and grow sustainably.

2: What is a Marketing Strategy?

- Definition: A marketing strategy outlines how a company creates customer value and builds profitable relationships.
- Core elements:
 - - Segmentation: Dividing the market
 - - Targeting: Choosing market segments
 - - Differentiation: Creating superior value
 - - Positioning: Establishing brand in customers' minds

Select customers to serve

Segmentation

Divide the total market into smaller segments

Targeting

Select the segment or segments to enter



**Create value
for targeted
customers**



Decide on a value proposition

Differentiation

Differentiate the market offering to create superior customer value

Positioning

Position the market offering in the minds of target customers

3: Market Segmentation Defined

- Definition: Market segmentation is the process of dividing a market into groups of buyers with different needs or behaviors.
- Segmentation Bases:
 - - Geographic: Nations, regions, cities
 - - Demographic: Age, gender, income, education
 - - Psychographic: Lifestyle, personality
 - - Behavioral: Benefits sought, usage rate, loyalty status

4: Segmenting Business & Global Markets

- Business Market Segmentation:
 - - Industry type, company size, technology, purchasing approach
- International Segmentation:
 - - Geographic (e.g., continents, countries)
 - - Economic (income levels)
 - - Political-Legal (regulations, stability)
 - - Cultural (values, languages)
- Example: Coca-Cola tailors campaigns to local cultures.

● **Table 7.1** | **Major Segmentation Variables for Consumer Markets**

Segmentation Variable	Examples
Geographic	Nations, regions, states, counties, cities, neighborhoods, population density (urban, suburban, rural), climate
Demographic	Age, life-cycle stage, gender, income, occupation, education, religion, ethnicity, generation
Psychographic	Lifestyle, personality
Behavioral	Occasions, benefits, user status, usage rate, loyalty status

5: Requirements for Effective Segmentation

- To be effective, market segments must be:
 - - Measurable: Can assess size and purchasing power
 - - Accessible: Can be reached effectively
 - - Substantial: Large and profitable enough
 - - Differentiable: Respond differently to offers
 - - Actionable: Programs can be developed to attract and serve them

6: Market Targeting – Strategies and Selection

- Definition: Market targeting involves evaluating each segment's attractiveness and selecting one or more to enter.
- Targeting Strategies:
 - - Undifferentiated: One offer to all (mass market)
 - - Differentiated: Separate offers for each segment
 - - Concentrated: Focus on one or few segments (niche)
 - - Micromarketing: Tailored to individuals or local areas

Undifferentiated
(mass) marketing



Differentiated
(segmented)
marketing



Concentrated
(niche)
marketing



Micromarketing
(local or individual
marketing)

Targeting
broadly

Targeting
narrowly

7: Socially Responsible Target Marketing

- Ethical marketing avoids exploiting vulnerable segments (e.g., children, low-income groups).
- Concerns:
 - - False claims or manipulation
 - - Over-promotion of unhealthy products
- Benefits of responsibility:
 - - Builds trust
 - - Supports brand equity
 - - Avoids regulation

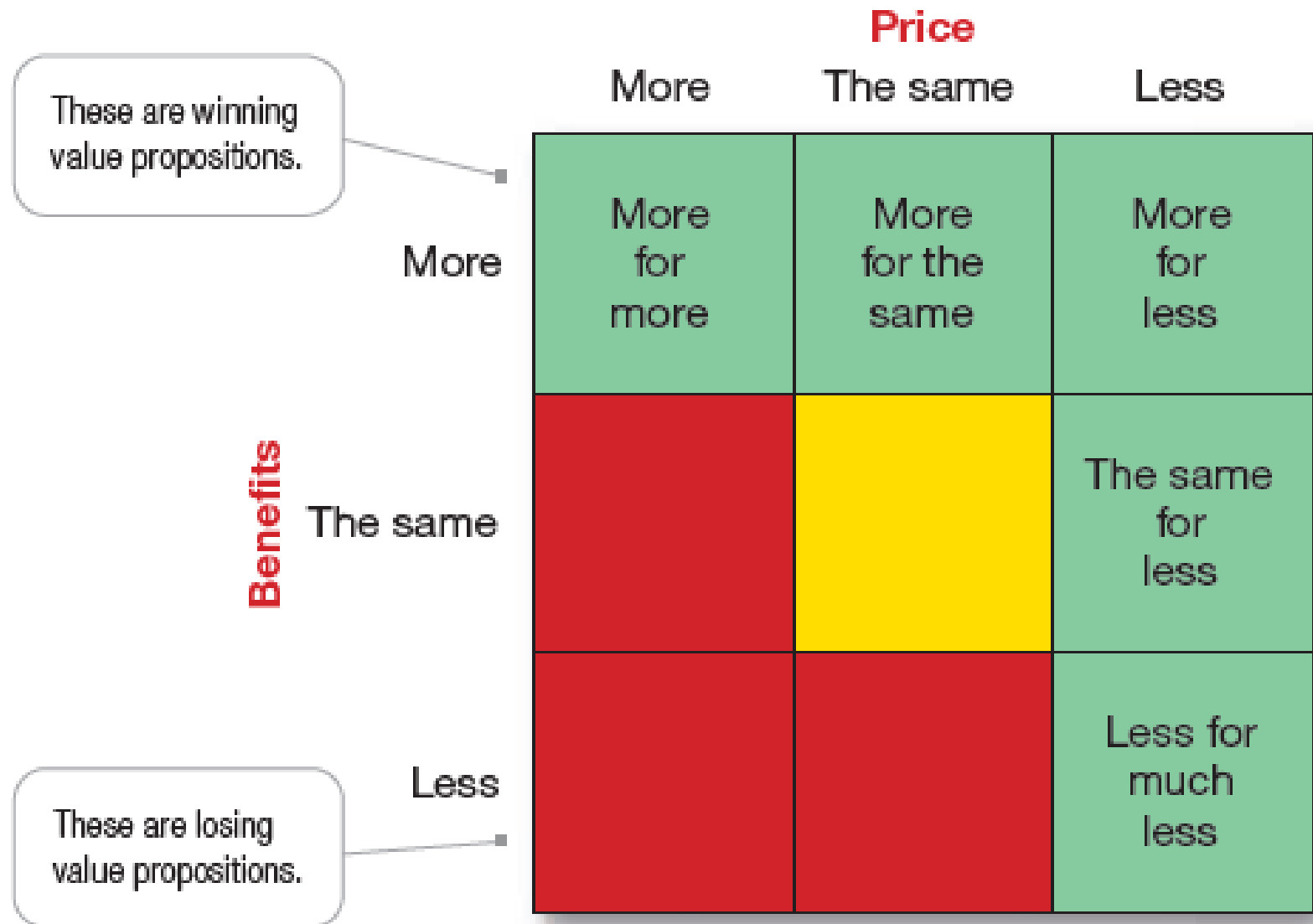
8: Differentiation – Building Competitive Advantage

- Definition: Differentiation involves identifying and communicating how a brand is different from competitors.
- Sources of Differentiation:
 - - Product: Features, performance
 - - Services: Speed, convenience
 - - Personnel: Expertise, friendliness
 - - Channel: Coverage, efficiency
 - - Image: Branding, symbols

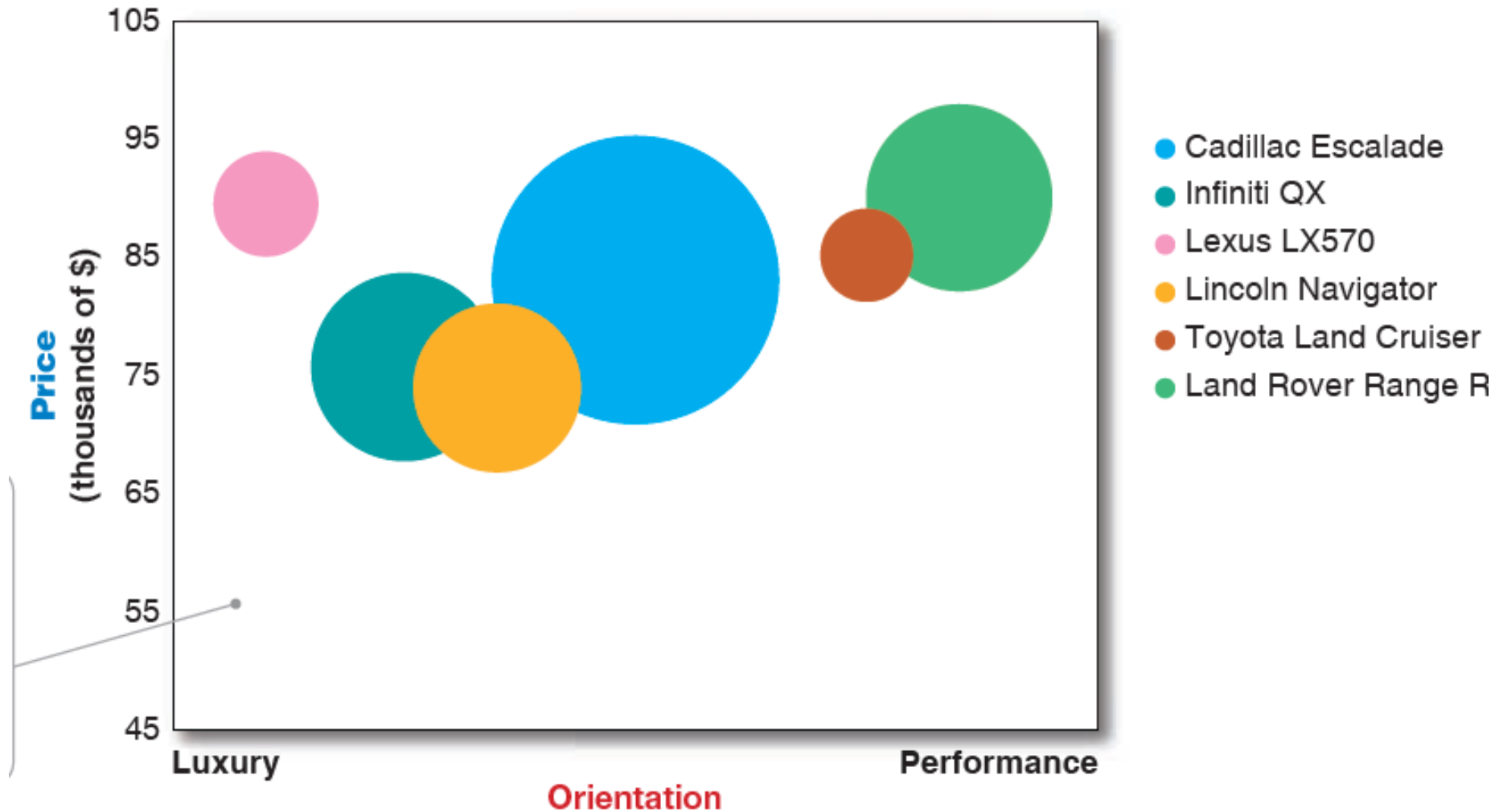
9: Positioning and Value Proposition

- Definition: Positioning refers to how a brand is perceived in the minds of consumers relative to competitors.
- Value Proposition Types:
 - - More-for-More: Luxury brands (Rolex)
 - - More-for-Same: High quality at competitive price
 - - Same-for-Less: Discount retailers (Walmart)
 - - Less-for-Much-Less: Basic value (Dollar stores)

Possible Value Propositions



Positioning map: Large luxury SUVs



Competitive advantage

An advantage over competitors gained. By offering greater customer value either by having lower prices or providing more benefits that justify higher prices.

Value proposition

The full positioning of a brand—the full mix of benefits on which it is positioned.

10: Recap – The STDP Process in Practice

- The STDP model enables companies to develop customer-centered strategies:
 - - Segmentation: Identify market groups
 - - Targeting: Select attractive segments
 - - Differentiation: Develop unique value
 - - Positioning: Communicate advantages
- Result: Strong brand preference, loyalty, and profitability